

30 YEARS OF TRUST MARKETS: INDIA'S FIRST AND LARGEST FINTECH NATIONAL STOCK EXCHANGE OF INDIA (NSE)

The National Stock Exchange of India (NSE) stands tall as the gateway to India's economy. Over the past 30 years, it has been a foundation stone of India's capital markets landscape. NSE successfully launched a fully automated screen-based anonymous order matching system in 1994, which helped establish India's credibility in a nascent IT world. International exchanges adopted automation only after NSE's remarkable success. NSE emerged as India's first Digital Public Infrastructure project, paving the way for India's IT revolution. It remains India's first and largest fintech till date.

NSE is celebrating 30 years of operations. Over 30 years NSE has changed the course of India's stock market, and the biggest beneficiary of this transformation is the Indian investor. NSE has emerged as the world's largest stock exchange, processing about 20 billion orders and 300 million transactions on certain days. NSE is the second largest equity exchange and the largest derivatives exchange for sixth year in a row based on market activity as per statistics from WFE.

Shri Ashishkumar Chauhan, one of the founding team members, leads NSE as the MD & CEO, guiding its commitment to fairness, efficiency and transparency while empowering investors, issuers and intermediaries.

NSE has over 11 crore unique investor registrations with over 22 crore accounts covering 99.9% of PIN codes in India. Currently, one in every five households is invested in the market, up from just one in fourteen households five years ago. The stock markets have literally reached the hands of every individual on the basis of the technology and the trust. Investors from all parts of the country be it Dibrugarh or Salem are investing their hard-earned money into the markets because of the trust. It is important to note the participation of female investors and younger investors in the market – One-fourth of our investors base constitutes female investors while the median age of NSE registered investors has dropped to 32 years. 40% of the investor base today is under 30 years of age.

India's market capitalisation has grown over 100 times in 30 years from when NSE started operations in 1994. India's equity market ranks fourth largest globally, after the US, China (including Hong Kong), and Japan. The market is unique, with no other country in the per capita income range of \$2,500–\$20,000 matching India's market size. India's equity market capitalization has outgrown the banking sector. The increasing investor participation and strong returns have generated significant wealth for Indian households, with an estimated accretion of nearly Rs 30 lakh crore to household wealth in the last three years (2022-24) and Rs 46 lakh crore in the last five years.

NSE's establishment was a direct response to challenges in India's financial markets in the early 1990s. The Harshad Mehta scam of 1992 exposed systemic inefficiencies, lack of transparency, and potential for market manipulation, underscoring the need for a robust, modernized trading platform.

Under visionaries like Dr. R. H. Patil and Mr. S. S. Nadkarni, NSE was conceived to introduce a nationwide, fully automated screen-based trading system eliminating inefficiencies of manual trading ensuring access to all market participants regardless of geographic location and fostering trust in the market.

NSE has democratized India's financial markets by empowering retail investors, encouraging institutional participation, and bridging the urban-rural divide. The exchange has collaborated with regulators and government bodies to implement market integrity reforms. Its regulatory framework, including stringent



NSE Headquarters, Mumbai

risk management practices, has become a global benchmark. NSE has championed cutting-edge technology, regulatory compliance, and investor-centric policies.

MAJOR MILESTONES IN NSE'S JOURNEY:

Introduction of Screen-Based Trading (1994): NSE pioneered fully automated, electronic order matching, replacing traditional open-outcry systems, ensuring speed, fairness, efficiency, and transparency.

Establishing NSE Clearing Limited (NCL) (1996): NCL provides clearing and settlement services, handling counterparty risk and maintaining market integrity through robust risk management systems.

Launch of NIFTY 50 Index (1996): The brainchild of current MD & CEO Ashishkumar Chauhan, Nifty50 represents 50 large capitalized and liquid stocks across various sectors. Today, it is one of the most tracked indices globally and is also called the 'Stock of the Nation'.

Dematerialization of Shares (1996): NSE co-promoted the National Securities Depository Limited (NSDL), leading the transition to paperless trading and eliminating risks associated with physical share certificates.

Derivatives Market (2000): NSE introduced equity derivatives with index futures, followed by index options in 2001, establishing India as a significant player in the global derivatives market. Today, NSE offers derivatives contracts in equity, currency, interest rate, and commodity markets.

NSE diversified its offerings to include Exchange-Traded Funds (ETFs), currency derivatives, interest rate futures, and com-

modities, bolstering its position as a comprehensive financial marketplace.

NSE has become a global leader in capital raising. In the CY2024, NSE facilitated 268 IPOs that raised Rs. 1.67 lakh crore (US\$19.5Bn) – which is the highest in the world – while the total fund mobilisation across equity and debt stood at Rs. 17.9 lakh crore (US\$209Bn).

NSE's Investor Protection Fund of Rs 2,427 crore and the Core Settlement Guarantee Fund of over Rs 11,674 crore ensures investor safety at multiple levels. Investor awareness has also been a priority with 13,203 programs conducted, reaching 7.24 lakh participants during FY25TD (April-February 2025). NSE has also signed MoUs with state governments of Uttarakhand, Meghalaya, Chhattisgarh, Assam and Goa to empower the youth of the state.

The 30-year journey of NSE is a testament to India's financial evolution from humble beginnings to its status as a global leader. As rightly said by Hon'ble Governor of Maharashtra Shri C P Radhakrishnan Ji, "Without Capital, there is no Viksit Bharat." For India to grow, the nation needs Capital. NSE is steadfastly committed to be a facilitator of capital leading to economic growth, capital formation, wealth creation and job creation.

As NSE enters fourth decade, it stands at the forefront of India's economic ascension on the global stage. With its technological prowess, regulatory excellence, and unwavering commitment to investor protection, NSE is poised to catalyze the next phase of India's capital markets growth—empowering millions more to participate in the nation's wealth creation journey while cementing India's position as a financial powerhouse in the international arena.